IN THE NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI BENCH- II

CA (CAA) 132(ND) of 2021

IN THE MATTER OF:

Sections 230-232 of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

AND

IN THE MATTER OF SCHEME OF AMALGAMATION

AMONGST

BHUWALKA MAKERS PRIVATE LIMITED,
632/7, 2nd Floor,
Gali No.2, Adarsh Mohalla,
Moujpur, New Delhi,
East Delhi-110053

.....Applicant No. 1/Transferor Company No. 1

AND

SUBH LABH TIE-UP PRIVATE LIMITED,
1/256 1, Ground Floor,
Loni Road Ram Nagar, Shahdara,
East Delhi, Delhi-110032

.....Applicant No. 2/Transferor Company No. 2

WITH

LORIKEETS BUILDERS PRIVATE LIMITED,
A-16, DSIDC Complex,
Jhilmil Industrial Area, Delhi-110095

.....Applicant No. 3/Transferee Company

ORDER DELIVERED ON: 03.01.2022

CORAM:
MR. ABNI RANJAN KUMAR SINHA, MEMBER (JUDICIAL)
MR. AVINASH K. SRIVASTAVA, MEMBER (TECHNICAL)

For Petitioner(s): Mr. Vishal Ganda, Adv., Ms. Pinki Sharma, CS and
Ms. Deepika, CS

ORDER

PER: MR. ABNI RANJAN KUMAR SINHA, MEMBER (Judicial)

1. This is an application filled by the Applicant Companies under Section 230 to 232 of the Companies Act, 2013 (for brevity "The Act") read with Companies (Compromises, Arrangements and Amalgamation) Rule, 2016 (for brevity "The Rules") in relation to the Scheme of Amalgamation (for brevity the "The Scheme") proposed between the Applicant Companies. In terms of Sections 230 and 232 of the Act following prayers have been made for orders:-

a) *Appropriate order for dispensing with the requirement for convening the meeting of the equity shareholders of the Transferor Companies and Transferee Company and also to dispense with the requirement of issue and publication of notices for the same;*
b) *Appropriate order for dispensing with the requirement for convening the meeting of the secured creditors of the Transferor Companies and Transferee Company and also to dispense with the requirement of issue and publication of notices for the same;*
c) *Appropriate order for dispensing with the requirement for convening the meeting of the unsecured creditors of the Transferor Companies and Transferee Company and also to dispense with the requirement of issue and publication of notices for the same;*
d) *Issuing direction for permitting the filing of application, petition and other documents as may be required for the purpose of sanctioning the proposed Scheme; and*

e) Passing such other order and further orders as are deemed necessary in the facts and circumstances of the case.

2. Affidavits in support of the application sworn for and on behalf of the Applicant Companies have been filed by Mr. Ghanshyam Dass Sharma being the authorized signatory.

3. It is represented that the Scheme does not contemplate any reduction of share capital and corporate debt restructuring exercise as contemplated under Section 230(2) of the Act. It is further represented that the application filed by the Applicant Companies is maintainable in view of Rule 3(2) of the Rules and it is also represented that the registered office of all the Applicant Companies are situated within the territorial jurisdiction of this Tribunal and falls within the domain of Registrar of Companies, NCT, New Delhi.

4. It is submitted that the proposed amalgamation is sought to be made under the provisions of Section 230 to 232 of the Companies Act, 2013 and the same if sanctioned by this Tribunal the appointed date as provided in the Scheme shall be 01.10.2020.

5. In relation to the Transferor Company No. 1, it has been represented that the company has 7 Equity Shareholders and consent affidavits from all the shareholders have been obtained constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record. We are further apprised that the Transferor Company No. 1 has NIL Secured and 1 Unsecured Creditor. The consent affidavit of the Unsecured Creditor has been placed on record. In relation to the shareholders and unsecured creditor, the Transferor Company No. 1 seeks dispensation from convening and holding of their respective meetings, on the ground that all the shareholders and the unsecured creditor have given their consent affidavits in favour of the Scheme.

6. In relation to the Transferor Company No. 2, it has been represented that the company has 3 Equity Shareholders and consent affidavits from all the shareholders have been obtained constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record. We are further apprised that the Transferor Company No. 2 has NIL Secured and 2 Unsecured Creditors. The consent affidavits of all the Unsecured Creditors have been placed on record. In relation to the shareholders and unsecured creditors, the Transferor Company No. 2 seeks dispensation from convening and holding of their respective meetings, on the ground that all the shareholders and the unsecured creditors have given their consent affidavits in favour of the Scheme.

7. In relation to the Transferee Company, it has been represented that the company has 5 Equity Shareholders and 6 Preference Shareholders and consent affidavits from all Equity Shareholders and 5 Preference Shareholders constituting 94.32% of the total share capital have been obtained. The consent affidavits of each of the members have been placed on record. We are further apprised that the Transferee Company has 1 Secured Creditor as on Appointed Date who has been paid on 16.08.2021. Further, the Transferee Company has 22 Unsecured Creditors out of which the consent affidavits of 21 Unsecured Creditors constituting 91.31% of the total value have been placed on record. In relation to the shareholders and unsecured creditors, the Transferee Company seeks dispensation from convening and holding of their respective meetings.

8. We have heard the Ld. Counsel for the Applicant Companies and perused the application and the connected documents filed along with the Scheme of Amalgamation contemplated between the Companies.

9. Transferor Company No. 1- BHUWALKA MAKERS PRIVATE LIMITED was incorporated on 19.07.1996 in the state of Delhi under the provisions of Companies Act, 1956. The authorised share capital of the Company is Rs.

71,00,000/- divided into 7,10,000 equity shares of Rs. 10 each. The paid-up share capital of the Company is Rs. 70,06,000 divided into 7,00,600 equity shares of Rs. 10/- each.

10. Transferor Company No. 2- SUBH LABH TIE-UP PRIVATE LIMITED was incorporated on 19.09.2007 in the state of Delhi under the provisions of Companies Act, 1956. The authorised share capital of the Company is Rs. 38,00,000/- only divided into 3,80,000 /- equity shares of Rs. 10 each. The paid-up share capital of the Company is Rs. 37,68,000/- divided into 3,76,800 equity shares of Rs. 10/- each.

11. Transferee Company- LORIKEETS BUILDERS LIMITED was incorporated on 11.01.2005 in the state of Delhi under the provisions of Companies Act, 1956. The authorised share capital of the Company is Rs. 2,00,00,000 divided into 15,00,000 equity shares of Rs. 10/- each and 5,00,000 Preference Shares of Rs. 10 each. The paid-up share capital of the Company is Rs. 74,01,500 divided into 3,00,000 equity shares of Rs. 10/- each and 4,40,150 Preference Shares of Rs. 10 each.

12. It is seen that the Board of Directors of all the Applicant Companies vide meetings held on 19.08.2021 and 18.08.2021 have unanimously approved the proposed Scheme of Amalgamation. Copies of such resolutions passed thereat have been placed on record.

13. The Applicant Companies have filed the Audited Financial Statements for the financial year ended 31st March, 2020 and 31st March, 2019.

14. The Applicant Companies have submitted vide Affidavit dt. 12.10.2021 that no inspection, inquiry or investigation is pending against any of the Applicant Companies.

15. Certificate of respective statutory auditors of the Applicant Companies have been placed on record confirming that the accounting treatment in the scheme is in conformity with Section 133 of the Companies Act, 2013.

16. Valuation Reports dated 16.04.2021 and 22.07.2021 obtained from Registered Valuer have also been placed on record.

17. There are two decisions of three members Bench of NCLT, on the point of dispensation of the meeting of the shareholders, viz. the decision dt. 17.05.2017 of NCLT Kolkata Bench in ***Jupiter Alloys & Steel India Limited in TA No. 11/2017*** and the decision dt. 31.05.2021 of NCLT New Delhi in ***Quick Calls Pvt Ltd CA (CAA) No. 75/230-232/ND/2020.*** In both the aforementioned decisions, contradictory view has been taken.

18. However, recently the Hon'ble NCLAT, vide judgment dt. 06.04.2021 in the matter of ***Ambuja Cements Ltd. Company Appeal (AT) No. 19 of 2021***, held that:

> *"37. From the above Judgment of the Hon'ble High Court of Bombay in the matter of* ***'Mahaamba Investments Ltd.'vs 'IDI Ltd.'****, whereby it is clear that an Application filed by the Transferor Company or Transferee Company, a separate Application is not necessary by the Transferee/Transferor Company. Further, this Tribunal in the matter of* ***'DLF Phase –IV Commercial Developers Ltd. & Ors'****. dispensed with the meetings of the Creditors and shareholders. However, the facts of the DLF matter are little different i.e. in the DLF matter the written consent was obtained by way of an 'Affidavit'. This Tribunal allowed the Appeal by setting aside the order of the Tribunal where the Learned Tribunal rejected the approval seeking the dispensation of the meetings of creditors and shareholders. However, in the present case we are of the view that the Learned*

Tribunal ought to have dispensed with the meetings of the Equity shareholders and Creditors of the Appellant Company. The only objection taken by the Learned NCLT that no written consent by way of an Affidavit' of the Shareholders and Creditors, were filed.

38. We are of the view that as held by the Hon'ble Supreme Court that a Coordinate Bench of a court cannot pronounce Judgement contrary to declaration of law by another Bench. In the Present case, the Tribunal (NCLT) Ahmedabad Bench erred in not following its own order passed in ***'Vodafone Idea Ltd'****, Wherein similar facts are involved in both the cases.*

Conclusion:

39. In view of the forgoing reasons we set aside the order of the Learned NCLT dated 10.12.2020 in CA (CAA) No. 50 of 2020. Accordingly, we dispense with the meetings of the Equity shareholder, Secured and Unsecured Creditors of the Appellant Company. The matter is remanded back to the NCLT for further Consideration."

19. Further, the above view was reiterated in the judgment dt. 28.06.2021 of Hon'ble NCLAT in the matter of ***Mohit Agro Commodities Processing Pvt. Ltd. Company Appeal (AT) No. 59 of 2021***. The relevant para is quoted below:-

"20. This Tribunal has placed reliance in ***'DLF Phase IV, Commercial Developers Limited and Ors.' in Company Appeal (AT) No. 180 of 2019*** *and observed that the scheme would not prejudicially affect the Creditors or Shareholders of the Appellant Company when an Application is filed by the 'Transferor Company' or 'Transferee Company', a separate Application is not necessary and dispensed with the meeting of*

the equity Shareholders and Creditors of the Appellant Company. At the cost of repetition, keeping in view that the financial position of the 'Transferee Company' is highly positive, the merger does not involve any compromise/arrangement with any Creditor of the Company, that there would be a positive net worth and Creditors would not be compromised, the Tribunal ought to have exercised the discretion in dispensing with the requirement of convening the meeting which would facilitate ease of doing business and save time and resources. To reiterate, we observe that the rights and liabilities of Secured and Unsecured Creditors were not getting affected in any manner by way of the proposed scheme as no new shares are being issued by the 'Transferor Company' and no compromise is offered to any Secured and Unsecured Creditors of the 'Transferee Company'. Therefore, we are of the considered view that when the 'Transferor and Transferee Company' involve a parent Company and a Wholly Owned Subsidiary the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors can be dispensed with as the facts of this case substantiate that the rights of the Equity Shareholders of the 'Transferee Company' are not being affected."

20. In sequel to above and in our considered view, the Tribunal, in view of the settled law, is empowered to dispense with the meeting of shareholders if they have given their consent. Further, in view of Section 230(9) of the Companies Act, 2013, the Tribunal is empowered to dispense with calling of a meeting of creditor or class of creditors where such creditors or class of creditors, having at least ninety per cent value, agree and confirm, by way of affidavit, to the scheme of compromise or arrangement. Accordingly, the following directions are given: -

A. In relation to the Transferor Company No. 1:

i. **With respect to Shareholders:**

It is represented by the Transferor Company No. 1 that all the shareholders have already placed their consent-affidavits on record. Therefore, the necessity of convening and holding a meeting is dispensed with.

ii. **With respect to Secured Creditors:**

It is represented by the Transferor Company No. 1 that there are NIL Secured Creditors. Therefore, the necessity of convening and holding a meeting does not arise.

iii. **With respect to Unsecured Creditors:**

It is represented by the Transferor Company No. 1 that the Unsecured Creditor has already placed its consent-affidavit on record. Therefore, the necessity of convening and holding a meeting is dispensed with.

B. In relation to the Transferor Company No. 2:

i. **With respect to Shareholders:**

It is represented by the Transferor Company No. 2 that all the shareholders have already placed their consent-affidavits on record. Therefore, the necessity of convening and holding a meeting is dispensed with.

ii. **With respect to Secured Creditors:**

It is represented by the Transferor Company No. 2 that there are NIL Secured Creditors. Therefore, the necessity of convening and holding a meeting does not arise.

iii. **With respect to Unsecured Creditors:**

It is represented by the Transferor Company No. 2 that all the unsecured creditors have already placed their consent-affidavits on

record. Therefore, the necessity of convening and holding a meeting is dispensed with.

C. In relation to the Transferee Company:

i. With respect to Shareholders:

It is represented by the Transferee Company that all the Equity Shareholders and 5 out of 6 Preference Shareholders constituting 94.32% of the total share capital have already placed their consent-affidavits on record. Therefore, the necessity of convening and holding a meeting is dispensed with.

ii. With respect to Secured Creditors:

It is represented by the Transferee Company that there are NIL Secured Creditors as on date. Therefore, the necessity of convening and holding a meeting does not arise.

iii. With respect to Unsecured Creditors:

It is represented by the Transferee Company that 21 out of 22 Unsecured Creditors constituting 91.31% of the total value have already placed their consent-affidavits on record. Therefore, the necessity of convening and holding a meeting is dispensed with.

21. **Accordingly, in terms of the above order, CA (CAA) 132 (ND) of 2021 is allowed.**

- Sd -

(AVINASH K. SRIVASTAVA)
Member (T)

- Sd -

(ABNI RANJAN KUMAR SINHA)
Member (J)